

Q.1 Which of the following is not a type of variance?

- A. Material usage variance
- B. Unusual variance**
- C. Labor efficiency variance
- D. Material price variance

Q.2 Which of the following step is involved in decision making process in the manufacturing industry?

- A. Identify the Alternatives
- B. All of the given options**
- C. Collect the Data
- D. Clarify the Decision Problem

Q.3 Sales price per unit= Rs.30.50

Variable cost per unit=Rs.12.50

Contribution to sales ratio= ?

- B. .45**
- C. .15
- D. .65

Q.4 Which of the following is a type of fixed overhead variance?

- A. Efficiency variance
- B. Spending variance
- C. Volume variance**
- D. None of the given options

Q.5 Which of the following is (are) advantage(s) of Gantt chart?

- A. It does not give a clear indication of interrelationship between the separate activities.
- B. It does not clearly indicate details regarding the progress of activities.
- C. All of the given options
- D. It provides an easy graphical presentation of when activities might take place.**

Q.6 Identify the profitability of index of" Project A" if Present value of inflows and Present value of outflows are Rs. 176,213 and 213,225 respectively.

- A. 1.21
- B. 1.00
- C. None of the given options
- D. 0.83**

Q.7 Which of the given is correct for “sales volume profit variance”?

- A. (Actual unit sold +budgeted nits sold) X (Standard profit per unit)
 - B. (Actual unit sold +budgeted nits sold) / Standard profit per unit
 - C. (Actual unit sold –budgeted nits sold) X (Standard profit per unit**
 - D. (Actual unit sold –budgeted nits sold) / Standard profit per unit
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Q.8 An electric company produced and sold ceiling fans at Rs. 1,500 each by incurring the variable cost of Rs. 1,200 each and fixed cost of Rs. 300,000.

Required: What is break-even point in units?

- A. Rs.1000**
 - B. Rs.3000
 - C. Rs.1500
 - D. Rs.1200
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Q.9 Which of the given formula is used to calculate activity ratio?

- A. None of the given options
 - B. Standard hours produced ÷ Budgeted labor hours
 - C. Standard hours produced ÷ Actual labor hours worked**
 - D. Actual labor hours worked ÷ Budgeted labor hours
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Q.10 Which of the following would be considered as Relevant Cost?

- A. Depreciation expense of existing machinery
 - B. Historical cost of plant & machinery
 - C. Book value of existing machinery
 - D. The current disposal price of existing machinery**
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Q.1 Following information has been extracted from the books of AHB to find the Economic Order Quantity (EOQ). Cost of placing an order Rs. 25 per order; Annual demand in units 20,000 units and Cost of holding one unit per annum Rs. 70 per annum.

- A. 335 units
- B. 85 units
- C. 120 units**
- D. Required more information to find the value of EOQ

Q.2 How many days are required for inventory conversion of XYZ Company if it has average inventory, cost of goods sold and net profit are of Rs. 200,000; Rs. 800,000 and Rs. 100,000 respectively. Also it is assumed that there are 365 days.

- A. 46 days
- B. 91 days**
- C. 183 days
- D. 104 days

Q.3 What is the situation of cash balance for the month of January if ABC Company must maintain cash balance of Rs. 12,000 and its revenue and expenses for the month of January are; Rs. 15,000 and 10,000 respectively?

- A. Rs. 7,000 deficit
- B. Rs. 5,000 deficit
- C. Rs. 7,000 surplus
- D. Rs. 5,000 surplus**

Q.4 Following information has been extracted from the books of ARS & Co. If total current assets and total current liabilities are of Rs. 500,000 and Rs 400,000 management of Company wants to add 10% to estimated figure of net working capital to account for contingencies. Identify the amount of Net Working Capital if

- A. Rs. 500,000
- B. Rs. 100,000
- C. Rs. 400,000
- D. Rs. 110,000**

Q.5 Which of the following component is subtracted while calculating the cost of factoring the accounts receivable?

- A. Cost of factoring on advances
- B. Credit control savings**
- C. Factoring service fee
- D. None of the given options

Q.6 How “decreased in creditors” is treated in cash flow statement as per International Accounting Standard-7?

- A. It is treated as cash outflow in financing activity.
- B. It is treated as cash inflow in financing activity
- C. It is treated as cash outflow in operating activity.
- D. It is treated as cash inflow in operating activity.**

Q.7 Return on Investment (ROI) can be improved by:

- A. decreasing sales.
- B. increasing the investment.
- C. increase in expenses.
- D. increasing the sales.**

Q.8 Following information has been extracted for the year to find the Return on Investment of ABC Company.

Investment with the help of provided information.

Return: Rs. 590,000; investment: Rs. 4,690,000 and Sales: Rs. 4,900,000

- A. Required more information

Find the Return on

- B. 13%**
- C. 1.04%
- D. 36%

Q.9 Economic order Quantity (EOQ) of ABC Company is 700 units, ordering cost of stock for one year is of Rs. 25,650 and demand for the year is of 70,000 units.

year.

Required: Identify the number of orders should place in a

- A. 70,000 orders
- B. Required more information to identify number of orders
- C. 700 orders
- D. 100 orders**

Q.10 Which of the following is correct for Cost plus pricing?

- A. None of the given options
- B. It is short run pricing concept.
- C. It is useful for any time duration.
- D. It is long run pricing concept.**

Subject: MGT404

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Total Questions: 10

Question 1:

In which of the given situation profitability of business will be decreased?

- A. If working capital remains constant.
- B. There is no relation between liquidity and profitability.
- C. If working capital is decreased.
- D. If working capital is increased.**

Selected Answer: D

Question 2:

Which of the following is correct for Economic Value Added (EVA)?

- A. EVA = Net operating profit after tax – capital charge**
- B. EVA = Net operating profit after tax + Total investment
- C. EVA = Net operating profit after tax + capital charge
- D. EVA = Net operating profit after tax – Total investment

Selected Answer: A

Question 3:

Cost based transfer pricing is appropriate:

- A. Whenever profit responsibility is decentralized and each division is operated on a standard cost basis.
- B. Whenever profit responsibility is decentralized and each division is operated on a cost center basis.
- C. Whenever profit responsibility is centralized and each division is operated on a profit center basis.
- D. Whenever profit responsibility is centralized and each division is operated on a cost center basis.**

Selected Answer: D

Question 4:

Cash dividend is component of which of the following?

- A. Cash flow from Investing Activities
- B. Cash flow from financing Activities**
- C. Cash flow from operating Activities
- D. None of the given options

Selected Answer: B

Question 5:

Identify the Re-order level if there are 2,000 packets of paper are used in a manufacturing concern each year of 48 working weeks.

- A. 154 packets
- B. 127 packets
- C. None of the given option**
- D. 500 packets

Selected Answer: C

Question 6:

How "decreased in creditors" is treated in cash flow statement as per International Accounting Standard-7?

- A. It is treated as cash outflow in financing activity.
- B. It is treated as cash outflow in operating activity.**
- C. It is treated as cash inflow in operating activity.
- D. It is treated as cash inflow in financing activity

Selected Answer: B

Question 7:

Following information has been extracted from ABC Company to find out the manufacturing cost per unit. Direct Material: Rs. 6,520 per unit; Direct Labor: Rs. 3,000 per unit; over head cost: Rs. 1,500 per unit.

- A. Rs. 9,520
- B. Rs. 4,500
- C. Rs. 8,020
- D. Rs. 11,020**

Selected Answer: D

Question 8:

Return on Investment (ROI) can be improved by:

- A. increasing the investment.
- B. decreasing sales.
- C. increase in expenses.

D. increasing the sales.

Selected Answer: D

Question 9:

Which of the following component is subtracted while calculating the cost of factoring the accounts receivable?

A. Credit control savings

- B. Factoring service fee
- C. None of the given options
- D. Cost of factoring on advances

Selected Answer: A

Question 10:

Following information has been extracted from the books of A & Co. to find the Economic Order Quantity (EOQ). Cost of placing an order Rs. 15 per order; Annual demand in units 10,000 units and Cost of holding one unit per annum Rs. 50 per annum.

A. 77 units

- B. 15 units
- C. 37 units
- D. Required more information to find the value of EOQ

Selected Answer: A

Q.1 Identify sales price variance if actual units sold and budgeted units sold are 35,000 units and 45,000 units respectively. Actual sales price per unit, standard profit per unit and standard sales price per unit are Rs. 215, Rs. 39 and Rs. 205 respectively.

- A. Rs. 390,000 favorable
- B. Rs. 390,000 adverse
- C. Rs. 350,000 favorable**
- D. Rs. 350,000 adverse

Q.2 Project with unconventional cash flows can have eitheror IRR.

- A. Negative, multiple**
- B. Double, positive
- C. Single, double
- D. Positive, double

Q.3 Following information for certain period has been extracted from the books of a manufacturing concern to find the value of Operating Cash flow.

500,000

Net Profit before tax: Rs. 793,600; tax rate: 35% and depreciation: Rs.

- A. Rs. 1,015,840**
- B. Rs. 550,840
- C. Rs. 550,840
- D. Rs. 500,000

Q.4 An electric company produced and sold ceiling fans at Rs. 1,600 each by incurring the variable cost of Rs. 1,200 each and fixed cost of Rs. 300,000.

Required: What is contribution margin ratio?

- A. 0.12**
- B. 0.12
- C. 0.30
- D. 0.16

Q.5 In case of mutually exclusive; when "Project M" should be accepted?

- A. $IRR\ M < IRR\ N$
- B. $IRR\ M = IRR\ N$
- C. $IRR\ M - IRR\ N = 0$
- D. $IRR\ M > IRR\ N$**

Q.6 For stock of ABC company:
of variation= ?

Standard deviation=8%

A. 0.50

Expected return=16%

B. 0.63

Cost of Capital=10%

C. 1.25

D. 2.00
Coefficient

Q.7 Which of the following is a type of fixed overhead variance?

- A. None of the given options
 - B. Efficiency variance
 - C. Spending variance
 - D. Volume variance**
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Q.8 Which of the following is (are) benefit(s) of Critical Path Method (CPM)?

- A. Give critical path and slack time
 - B. Mathematically simple
 - C. Useful in monitoring costs
 - D. All of the given options**
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Q.9 Which of the following is NOT feature of a relevant cost?

- A. It affects the future cost
 - B. It affects the future cash flows
 - C. It is a sunk cost**
 - D. It causes an increment in cost
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Q.10 An electric company produced and sold ceiling fans at Rs. 1,600 each by incurring the variable cost of Rs. 1,200 each and fixed cost of Rs. 300,000.

Required: What is contribution margin per unit?

- A. Rs.400**
 - B. Rs.300
 - C. Rs.200
 - D. Rs.280
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